

WITHERING HEIGHTS

BYJU'S IS CONFRONTING THE CRISIS OF ITS LIFETIME, WITH AUDITOR DELOITTE AND SEVERAL BOARD MEMBERS JUMPING SHIP, AND FUNDING DRYING UP. DRASTIC MEASURES ARE THE NEED OF THE HOUR

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BY BINU PAUL

faced by companies like BYJU'S and PharmEasy. These investors may demand increased safeguards to protect themselves from business failures," says Anirudh A. Damani, Managing Partner of Artha Venture Fund.

TOUGH TIMES

Before the repercussions, the focus must be on the troubles that BYJU'S, once the poster boy of India's edtech evolution, has found itself in. These have intensified after a consortium of lenders that gave it a \$1.2-billion Term Loan B or TLB—long-term secured loans availed by firms for big projects or acquisitions involving multiple lenders—during its growth years, sued it and demanded accelerated repayment. BYJU'S missed the quarterly interest payment in early June. It has said it won't make any further payment to the lenders, including any interest, until the court resolves the dispute. In fact, it countersued its creditors to disqualify the lead lender, which would prevent

them from exercising the terms of the TLB.

Back home, the situation was deteriorating fast—an investor (BlackRock) lowered its valuation—and the never-ending lay-offs further hit staff morale. Its troubles reached a zenith when statutory auditor Deloitte Haskins & Sells resigned, and three board members—G.V. Ravishankar of Peak XV Partners, Vivian Wu of the Chan Zuckerberg Initiative, and Russell Dreisenstock of Prosus—stepped down.

Deloitte attributed the decision to the prolonged delay in providing audited financial statements for FY22. "A statutory auditor acts as a watchdog for the shareholders, and not for the management or promoters. When the information was not